

RESEARCH — The Money Side: Financing & Budgeting a €1.2–1.5M European Feature Doc

Full research report, 14 July 2026. Companion to PRODUCER-MASTER-STRATEGY.md. All numbers cited; synthesized models labelled. Verify time-sensitive rules against primary sources before signing.

o. The mental model

A budget is a **cost plan**; a financing plan is a **list of promises**; cash flow is **when promises become money in the bank** — and the three never line up by themselves. European doc financing is mostly soft money that pays **late, in tranches, against milestones and audits**, while crew and travel must be paid **now**. The producer's real job is managing that gap without giving away the film.

1. How a feature doc budget breaks down

ATL vs BTL: Above-the-line = key creative costs (rights, development, producer/director/writer fees — where YOUR deferrable fees live). Below-the-line = hard costs (crew, equipment, travel, post, insurance, office). Docs are also cut **by phase** (development › production › editing › post/finishing › delivery/publicity) because funders finance phases, not whole films (IDA 2025 budgeting intro; Hot Docs budgeting guide).

Reference points (IDA 2025, real sample \$676,700 doc): R&D 12% · production 32% · editing 23% · post 25% · festivals/publicity 7%. **Editing + post = 48% — post is as large as the shoot on creative docs.** Director and producer fees ~ 5–10% of budget *each*; contingency 6–10% ("start at 10%, reduce reluctantly"); ~10% production-services fee normal on commissioned work. IDFA Forum 2023 projects averaged \$416–640k globally, ~\$900k US/UK, with clusters at \$200–500k and \$800k–1.4M — **€1.2–1.5M sits in the upper cluster; ambitious but normal for international co-produced cinema docs.**

Percentage model for a ~€1.2M creative feature doc (synthesized from IDA norms, adapted for expedition-heavy/low-archival):

Bucket	%	€
Development & research	4%	48,000
Producer + director fees (ATL, partly deferrable)	10%	120,000

Bucket	%	€
Production (crew, equipment incl. UW/safety, travel)	30%	360,000
Archival & footage licensing	3%	36,000
Editing (editor + assistant + suite, 9–12 months)	17%	204,000
Finishing (color/online, GFX, sound design + mix, M&E, DCP, deliverables)	10%	120,000
Music (composer + licensing)	3%	36,000
Insurance, legal, E&O, audit	3%	36,000
Publicity, festivals, stills, trailer	4%	48,000
Company overhead / production fee (HAVC cap 7%)	7%	84,000
Contingency	9%	108,000

The shape: production ~ 30%, everything after the shoot ~ 30%, and ~**25% is "invisible" money** (fees, overhead, insurance, contingency, publicity) that first-timers forget and then eat personally.

Post & delivery: 4–6 months of editing per ~120 hrs of footage, **double for vérité** (Fourwind Films); Alliance of Documentary Editors rule: ~1 month per 10 finished minutes > ~9 months for 90'. Color ~ 1–3 days per 10–20 finished min; dialogue edit ~ 1 wk per 30'; mix ~ 3 days per 30'. **Delivery package (master, DCP, 5.1+stereo, M&E stems, subs, CC, trailer, key art, cue sheets, chain of title, E&O cert): budget €10–25k+.** Broadcasters require closed captions (IDA "Don't Fudge on Your Budget").

Archival real prices: commercial archives \$49–79 **per second** (min license \$539–1,003/project — Producers Library) ~ \$3,000–4,700 per finished minute; per-clip \$149–499+. Price scales with term/territory/media. Trick: license festival-only cheap, budget the all-media buy-up as a delivery cost triggered by the sale — but it **MUST** be in the budget. For Deep Dive: even 5 min of agency news footage worldwide/all-media can be €20–50k. **Get quotes in development.**

Insurance: E&O mandatory for distribution — straightforward doc \$3–4k for 3-year policy, indie range \$2.5–10k at \$1M limits (Front Row, TH Agency); controversial content raises it. Production

package separate (IDA/HUB program exists). Completion bond 2–5% of budget but **rare in documentary** — know it exists for gap lenders only.

The two protected percentages: contingency ~10% (docs argue for more; 0% reads amateur, not efficient) and **company fee: HAVC hard cap 7% of total financial plan — verified in Pravilnik, NN 144/2014 čl. 8** (narodne-novine.nn.hr/clanci/sluzbeni/2014_12_144_2704.html; amendments at havc.hr/propisi). The 7% is how the company survives between films — always budget it fully; it is separate from the producer *fee* (ATL).

2. Cash flow — the thing that kills producers

"Financed" ≠ "funded". When cash actually arrives:

- **HAVC:** instalments against milestones (signature, start of shoot, rough cut, delivery/report) — never 100% upfront.
- **Croatian rebate:** AFTER wrap + audited accounts + up to 90 days (Invest Croatia) — realistically 6–12+ months after the money left your account.
- **Eurimages:** instalments tied to milestones; >€150k is an advance repaid from receipts.
- **Broadcaster pre-sale:** small % on signature, bulk **on delivery and technical acceptance**.
- **Sales MG / streamer:** on delivery of the finished, E&O-insured, QC-passed film — years away.
- **Sponsors:** against campaign milestones.

Real-world scale: a producer with a confirmed US network deal AND confirmed tax credits still faced a **\$2.5M shortfall** purely from timing gaps (Capitol Hill Times/GTF).

The trough (stylized Deep Dive quarters): a fully financed €1.2M film spends 2–4 quarters at **-€100–200k** cumulative position mid-production/edit, recovering only at rebate + delivery payments. Plan the trough or discover it as unpaid crew invoices. **Tool: cumulative cash-flow worksheet** (projected out vs in per month, running balance) — build it the day the financing plan is drafted, update monthly; financiers increasingly ask for it.

Instruments: bridge loan against a confirmed receivable (HAVC contract, pre-sale, rebate certificate — in Croatia often bank loan/factoring); gap financing against unsold-territory estimates at **12–20% interest** (rare for docs — lenders distrust doc estimates); deferrals (your own 10% fee = the classic first-timer float) — **Eurimages counts deferrals + in-kind as confirmed financing only up to 15% of budget**; in-kind (post house investing services); personal float (never float payroll taxes).

3. The financing plan & recoupment waterfall

The financing plan is a one-page table: source / type / amount / % / status (confirmed–pending–estimated) / conditions. It proves the budget closes and shows each funder they're not alone.

Illustrative Deep Dive structure (€1.35M) — *amounts illustrative; check RESEARCH note below on HAVC realism:* HAVC development 25k (confirmed) · HAVC production (tranches) · HRT pre-sale ~60k · rebate 25%×HR spend (estimated, late) · Italian minority co-pro (MiC/region/RAI) ~250k · Hungarian minority (NFI + HU 30% rebate) ~130k · Eurimages <=20–25% (needs 50% confirmed per country) · sponsors ~40k · deferral/in-kind <=15% cap. (!) **Reality check vs HAVC primary sources:** actual HAVC feature-doc production grants 2024–26 ran **€40–90k per film**

(results PDFs) — NOT €300k+. A €1.2–1.5M Croatian-majority doc closes only with the full international stack (partners + Eurimages + pre-sales + rebate + market money), or with a right-sized core budget. See "two budgets" strategy in the master doc.

The waterfall (order revenue is paid out): 1. CAM fee (~1%) > 2. sales agent commission 10–15% (to 20% on MGs) > 3. sales agent capped marketing expenses > 4. senior/bridge debt +8–12% > 5. gap +12–20% > 6. repayable soft money (Eurimages advance) > 7. equity principal + premium (110–120%, target returns 10–30%) > 8. deferrals > 9. net profits split. **Non-repayable soft money (HAVC grants, rebate) sits OUTSIDE the waterfall** — that's why €400k of grants beats €400k of equity: no repayment, no ownership.

Worked example — €500k gross sales, no equity/gap, Eurimages advance €270k (20% of budget): 500k - 5k CAM - 75k commission (15%) - 40k capped expenses - 76k Eurimages recoupment (20% of producer net receipts) - 20k deferrals = **€284k producer net > HR majority share (60%) ~ €170k**. Teaching points: €500k of "sales" = ~€170k for the majority producer (normal); with equity/gap in the stack, producer line ~ zero at this revenue level. **That is the argument for a soft-money-heavy plan.**

Eurimages mechanics (2025 regs): ≤€150k = non-refundable subsidy; >€150k = interest-free advance on receipts, repayable from first euro of each producer's net receipts at a rate equal to Eurimages' share of financing (after deducting the pre-sales that closed the budget); each co-producer repays proportionally, cap 100% of award. **Docs: max 25% of production cost, absolute cap €500,000.** Eligibility: ≥2 co-producers from different member states (HR, IT, HU all members); bilateral shares 20/80 (Eurimages' own rule); ≥50% of financing confirmed in each country at application; feature docs ≥70' for cinema.

CAMA (Collection Account Management Agreement): all buyers worldwide pay into one neutral escrow account (Fintage House or Freeway Entertainment; FilmChain newer); the CAM disburses per the agreed waterfall — self-executing, no "the money is with the Italian partner." Eurimages has a framework agreement with Freeway. Cost: setup + low single-digit % of collections. **Put "CAMA with Freeway/Fintage" in the co-production agreement from day one. Revenue flows through a CAMA or the deal doesn't close.**

4. International co-production mechanics

The core mechanic: one film, several producers, several national treasuries. Each co-producer raises its own national money (that's why they're invited), owns a proportional share (usually incl. home-territory revenues), and carries a **spend obligation** (e.g., HAVC minority scheme: ≥60% of Croatian support spent in Croatia; IT/HU equivalents). All fixed in the co-production agreement: shares, budget responsibility, spend geography, creative control (**protect final cut in writing**), over-cost liability, revenue split/territory carve-outs, credits, CAMA. The trade: co-production **multiplies soft-money surface** at the price of complexity + 25–40% of ownership — at €1.2–1.5M a Croatian doc essentially cannot close without it. **You don't "get" the partners' money — you get that much of the film MADE in their countries** (color in Rome, sound/score in Budapest). Plan post geography around the money.

Legal frame: 1992 European Convention (ETS 147): bilateral 20–80%, multilateral 10–70%, financial-only co-producers 10–25%, ≥15/19 points European-elements test. Revised Convention

(CETS 220, 2017, where all partners ratified): bilateral 10–90%, multilateral 5–80%, **dedicated documentary points grid** in appendices. If a partner state only ratified the 1992 text, the older convention governs. Verify HR/IT/HU ratification status at signing.

Sequencing lesson: Eurimages is *middle* money — HAVC + partner national money must be $\geq 50\%$ confirmed per country BEFORE filing. Typical order: HAVC development › partners + LOIs › HAVC production + partner funds › Eurimages › close with rebate estimate + pre-sale/sponsor.

4b. Croatian 25%+5% rebate — mechanics

Verified (filmingincroatia.hr; Invest Croatia): 25% cash rebate on qualifying Croatian spend (+5% in below-average-development regions — verify each municipality's index). Qualifying = Croatian goods/services + wages to Croatian tax residents, ex-VAT. **Docs minimum spend €60,000** (features 250k). Process: apply to HAVC ≥ 8 days before start of production with **proof of $\geq 70\%$ of financing** › provisional certificate › after Croatian work completes, **audited accounts** › final certificate › paid within ~90 days to a Croatian account. Effectively an entitlement (no competitive selection). Crew conditions kick in $>€500k$ HR spend (trainees) and $>€1M$ (3 HR HoDs + 50% HR crew).

Cash-flow truth: the rebate is money you must first spend. E.g., €700k HR qualifying spend › €175k back, arriving 6–12+ months after the spend, minus audit cost (€3–8k) — and it requires flawless Croatian bookkeeping from day one. Bridge options: treat as **last money in** (finances post/delivery, not the shoot); bank discounting against the provisional certificate. Sicily/Vegas travel generates NO Croatian rebate (an Italian partner's spend may feed Italy's incentive instead).

Stacking warning (GBER Art. 54, Reg. EU 651/2014): total public aid generally capped at **50% of budget — 60% for cross-border co-productions** (more for "difficult" works). Have HAVC confirm the cumulation math.

5. The five kinds of money

Money	Wants back	Real cost to you	Pays when	Use for
Grants/soft (HAVC, Eurimages, MEDIA)	Deliverables, reports, audits; Eurimages >150k a receipts corridor	Time + compliance + spend obligations; no ownership, no debt	Tranches, partly arrears	The foundation (50–70% of a EU doc)
Pre-sales (broadcaster/streamer early)	Exclusive territory/platform rights + delivery to spec	That territory's upside; delivery obligations	Small % signature, bulk on delivery	Credibility + bankable paper
Brand sponsorship	Association, content, credits	Soft editorial pressure — treat as a rights & editorial conversation; disclosure rules	Campaign milestones	Top-up; keep <10–15% of budget, outside final cut
Equity	Recoupment + premium (110–120%) + profits + reporting	Dilution + a permanently colder waterfall	Up front (its one advantage)	Last resort at this scale
Gap/debt	Principal + 12–20%, senior position	Interest + fees + legal; needs credible sales estimates	Up front, repaid first	Final 10–15% only if agent estimates support it

Why clean equity matters: every euro of equity/gap inserts a creditor above you and outlives the film. A grants+rebate+pre-sale doc pays its deferrals from the FIRST sale; the same doc with €200k equity at 120% pays €240k first — at doc revenue levels, that's usually the entire net. Soft-money-first is arithmetic, not idealism.

6. Tools financiers expect

- **Top sheet** (1-page category summary — read first for shape: post ~30%? contingency ~10%? sane fees?) + detailed budget (line items, qty × rate × time).
- Movie Magic Budgeting where bonds/studios are involved; for EU docs, funders accept clean spreadsheets in **their** templates (HAVC has its own forms — use exactly; Eurimages likewise). Doc-specific starting points: IDA sample budget PDF; Hot Docs budgeting guide PDF. AICP format = commercials, not docs.
- Full financier package: top sheet + detail (per-phase AND per-country columns for co-pros) + financing plan with status column + cumulative cash-flow + draft co-pro agreement + chain of title. During production: monthly **cost reports** (budget vs actual vs estimate-to-complete) from month one.
- IDA craft rules: don't hide real costs to look cheap; include publicity, stills, CC; budget employer payroll taxes on top of wages.

Verify-before-relying

1. HAVC current consolidated Pravilnik (7% cap verified NN 144/2014 čl. 8; amendments exist) + instalment schedule.
2. Rebate per-project cap, audit requirements, +5% region list (filmingincroatia@havc.hr).
3. Eurimages 2026 deadlines/instalments (coe.int/eurimages).
4. HR/IT/HU ratification of CETS 220 + the documentary points grid.
5. Hungarian 30% rebate + NFI minority terms (via HU partner).
6. GBER cumulation ceiling math (HAVC legal office).

Key sources

IDA 2025 budgeting intro + sample budget + "Don't Fudge on Your Budget" (documentary.org) · Hot Docs budgeting guide (assets.hotdocs.ca) · Fourwind Films budget guide (medium.com) · Producers Library pricing · Front Row / TH Agency E&O costs · EP "Beginner's Guide to the Film Financing Waterfall" (ep.com) · Cinelaunch waterfall · Stage 32 CAMA · Fintage House · Freeway Entertainment · Eurimages Regulations 2025 (rm.coe.int/coprodregulations-2025-en) + repayment conditions + application rules (coe.int) · ETS 147 + CETS 220 texts · filmingincroatia.hr · Invest Croatia rebate page · HAVC minority co-pro call 2026 · Pravilnik NN 144/2014 · Early Light Media cash-flow · Beverly Boy bridge loans · Media Services doc financing · Lab Thoughts brand-funded docs · IDA on corporate sponsors · Vitrina 2026 doc financing roadmap · CMS Productions / SetHero / StudioBinder budgeting tools.